

opportunities for developing new products or processes or for starting new product lines or for any one of the hundred and one more mundane actions whereby a dollar spent today may mean many dollars earned in the future. Such actions can vary all the way from hiring and training new personnel that will be needed as the business grows to forgoing the greatest possible profit on a customer's order to build up his permanent loyalty by rushing something to him when he needs it badly. For the conservative investor, the test of all such actions is whether management is truly building up the long-range profits of the business rather than just seeming to. No matter how well known, the company with a policy that only gives lip service to these disciplines is not likely to prove a happy vehicle for investment funds. Neither is one that tries to follow these disciplines but falls down in executing them, as, for example, a company that makes large research expenditures but so mishandles its efforts as to gain little from them.